



Alu-Alu Command

Project viability - own funds & leverage

Revision 10

26 Jun 2026

KEY ASSUMPTIONS

Selling price	Rs 490/kg	Wastage	+6%
RM incl wastage	Rs 396	Fixed assets	Rs 3.45 Cr
RM stock	30 d	Finished goods	15 d
Debtor days	75 d	Creditor days	30 d
Target ROI	30%	Interest	11%
Tax	0%	Equity cap	Rs 8 Cr

RAW MATERIALS - chosen vendor

OPA	Vendor A	Rs 240/kg
Aluminium foil 802	Vendor A	Rs 520/kg
PVC	Vendor A	Rs 170/kg
Adhesive	blended	Rs 237/kg

Ideal RM cost / kg	Rs 373/kg
add Std wastage	+ 6.00%
RM cost / kg (incl. wastage)	Rs 396/kg

RETURNS BY MONTHLY VOLUME (Rs Cr / year, grey = % of sales)

	25T	50T	75T	100T
PROFIT & LOSS				
Sales	14.70	29.40	44.10	58.80
Raw material	11.88 81%	23.75 81%	35.63 81%	47.51 81%
Fixed cost	1.72 12%	1.99 7%	2.31 5%	2.64 4%
Variable cost	0.42 3%	0.84 3%	1.26 3%	1.68 3%
Operating profit	0.68 5%	2.82 10%	4.89 11%	6.97 12%
less Interest on debt	0.00	0.28	0.67	1.06
Net profit (after int. & tax)	0.68 5%	2.54 9%	4.22 10%	5.91 10%
INVESTMENT				
Fixed assets	3.45	3.45	3.45	3.45
Working capital	3.60	7.13	10.67	14.21
Total capital employed	7.05	10.58	14.12	17.66
FUNDING WITH YOUR RS 8 CR EQUITY (balance = debt)				
RoCE (on capital)	10%	27%	35%	39%
Your equity	7.05	8.00	8.00	8.00
Debt to arrange	0.00	2.58	6.12	9.66
Debt : Equity	0.00:1	0.32:1	0.77:1	1.21:1
RoE (on your equity)	10%	32%	53%	74%

WHAT IT MEANS - achieving 30% efficiently

Target & threshold

On capital, the project clears 30% from 75T. At 50T it earns 27% on Rs 10.58 Cr of total capital.

Funding with your Rs 8 Cr

Your equity is fixed at Rs 8 Cr; the balance is debt. At 50T you put in Rs 8.00 Cr and borrow Rs 2.58 Cr (D:E 0.32:1), giving 32% on your own money - above your 30% goal.

How far your Rs 8 Cr reaches

On Rs 8 Cr alone you self-fund up to ~32 T/mo (Rs 18.66 Cr turnover) at 16% RoCE; beyond that you must add debt. Full P&L on page 2.

Levers to optimise ROI

In order: (1) sell more tonnes - fixed cost dilutes; (2) squeeze the foil vendor, ~75% of RM; (3) cut the 75-day debtor cycle; (4) stretch supplier credit past 30 days.



Targets, breakeven & control

What to hold to hit 30% RoCE - at 50 T/mo

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WHERE YOU STAND - AT 50 T / MONTH

RoCE NOW 27% target 30%	NET PROFIT / YR Rs 2.54 Cr after Rs 0.28 Cr int.	CAPITAL EMPLOYED Rs 10.58 Cr	RoE NOW 32% clears 30%
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BREAK-EVEN - the floor you must clear every month (price Rs 490/kg)

BREAK-EVEN VOLUME 20.7 T / month 20,662 kg / month	BREAK-EVEN SALES Rs 1.01 Cr / mo sell below this and the month is a loss	
Contribution Rs 80/kg (price - RM - variable)	Fixed Rs 16,55,000/mo	Safety +59% above breakeven

TO HOLD 30% RoCE AT 50T - fixing ANY ONE of these is enough

Lever	To hit 30%	You're at	Status
Monthly volume	raise to 60.5 T	50 T	off
Fixed cost / month	cut to Rs 13.59 L	Rs 16.55 L	off
Debtor days	cut to 60 days	75 days	off
Inventory days (RM+FG)	cut to 28 days	45 days	off

VERDICT

At 50T you earn 27%, below 30%. Any single move clears it: lift volume to ~60T; OR trim fixed cost to Rs 13.6L/mo; OR collect in 60 days; OR hold 28 days of inventory. Combine two and you clear 30% with a cushion. In a weak month you may not control volume - but debtors and inventory are levers you always can pull.



Capital & self-funding

How the money is built - detail at 50 T/mo

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CAPITAL & RETURNS - AT 50 T / MONTH

TOTAL CAPITAL EMPLOYED	RoCE	EQUITY	DEBT	RoE
Rs 10.58 Cr A + B	27% op. profit Rs 2.82 Cr	Rs 8.00 Cr 76% of capital	Rs 2.58 Cr D:E 0.32:1	32% clears 30%

FIXED ASSETS (A) - Rs 3.45 Cr	WORKING CAPITAL (B) - Rs 7.13 Cr
Same at every volume (Rs Cr)	How each piece is worked out, at 50T
AluAlu lamination machine 1.25	Raw material stock Rs 1.95 Cr Annual RM 23.75 Cr / 365 x 30 d
Slitting machine 0.30	Finished goods & WIP Rs 1.09 Cr Annual COGS 26.58 Cr / 365 x 15 d
Hot room / AHU HVAC 0.25	Debtors Rs 6.04 Cr Annual sales 29.40 Cr / 365 x 75 d
QC lab 0.20	less Creditors - Rs 1.95 Cr Annual RM 23.75 Cr / 365 x 30 d
Epoxy flooring 0.10	
Adhesive mixture 0.05	
Cabins, electricals & furniture 0.50	
Doctoring machine 0.10	
Genset 0.10	
Roll stand & rack 0.10	
Miscellaneous 0.50	
Total fixed assets Rs 3.45 Cr	Net working capital (B) Rs 7.13 Cr

SELF-FUNDED CEILING - Rs 8 Cr, NO DEBT - where your own money runs out				
You get stuck at	Sales	RM + costs	Net profit	RoCE here
31.7 T / month turnover Rs 18.66 Cr / yr	Rs 18.66 Cr	Rs 17.40 Cr	Rs 1.26 Cr	16%

WILL YOU NEED OUTSIDE MONEY? - funding the working-capital cycle					
Cash stays tied up about 90 days: RM stock 30 + finished goods 15 + debtors 75 - suppliers' credit 30. That locked-up cash IS the working capital, and it must be funded before the first rupee of profit comes in.					
Volume	Capital needed	Your Rs 8 Cr	Outside	Profit/yr	Repaid in
25T	7.05 Cr	7.05 Cr	none	0.68 Cr	-
50T	10.58 Cr	8.00 Cr	2.58 Cr	2.54 Cr	~12 mo
75T	14.12 Cr	8.00 Cr	6.12 Cr	4.22 Cr	~17 mo
100T	17.66 Cr	8.00 Cr	9.66 Cr	5.91 Cr	~20 mo
Up to ~32T your Rs 8 Cr funds the fixed assets and the whole working-capital cycle - NO outside money. Past that, the outside need is a bridge the business repays from its own profit in about 20 months - short-term working-capital finance, not permanent debt. Suppliers (30d) and salaries are paid on their due dates throughout.					



Monthly cost break-up

Every line, across all four volumes - 50T highlighted

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COST PER MONTH BY VOLUME (Rs)				
	25T	50T	75T	100T
FIXED COST				
Marketing	1,50,000	2,00,000	2,50,000	3,00,000
Admin	2,25,000	2,50,000	2,75,000	3,00,000
Lamination machine	75,000	1,00,000	1,25,000	1,50,000
Production supervisor	75,000	75,000	75,000	75,000
QA	0	0	38,000	75,000
QC	50,000	50,000	50,000	50,000
Adhesive mixing operator	0	0	13,000	25,000
Slitting operator	20,000	30,000	40,000	50,000
Helpers	1,75,000	2,00,000	2,25,000	2,50,000
Electricity	1,50,000	2,00,000	2,50,000	3,00,000
Rent	2,00,000	2,00,000	2,00,000	2,00,000
Repair & maintenance	38,000	50,000	63,000	75,000
Other expenses	1,25,000	1,50,000	1,75,000	2,00,000
Contingency	1,50,000	1,50,000	1,50,000	1,50,000
Total fixed / month	14,33,000	16,55,000	19,29,000	22,00,000
VARIABLE COST				
Packaging materials	1,00,000	2,00,000	3,00,000	4,00,000
Transportation	1,00,000	2,00,000	3,00,000	4,00,000
Other expenses	1,50,000	3,00,000	4,50,000	6,00,000
Total variable / month	3,50,000	7,00,000	10,50,000	14,00,000
PER KILOGRAM				
Conversion cost / kg	Rs 71.32	Rs 47.10	Rs 39.72	Rs 36.00
RM cost / kg (incl. wastage)	Rs 396	Rs 396	Rs 396	Rs 396
Selling price / kg	Rs 490	Rs 490	Rs 490	Rs 490

READING IT

Fixed cost is the same rupees whether you sell little or much, so spreading it over more kilos is what drives the conversion cost down from Rs 71.32/kg at 25T to Rs 36.00/kg at 100T. With RM at Rs 396/kg and price at Rs 490/kg, every extra tonne widens the gross margin - the single biggest lever on this project.